Eco401 MCQs (Lecture 1 - 18) -5 Solved by vuZs Team

ECO401 MCQs From Quiz No.2

Question # 1 of 15
If the demand curve for a good is downward sloping, then the good:
Select correct option:
Must be normal.
Must be inferior. (Correct)
Must be Giffen.
Can be normal or inferior.

Question # 2 of 15 (Start time: 04:09:42 PM) Total M - 1

Which of the following does NOT refer to macroeconomics?
Select correct option:
The study of the aggregate level of economic activity.
The study of the economic behavior of individual decision-making units such as consumers, resource owners, and business firms. (Correct)
The study of the cause of unemployment.
The study of the cause of inflation.

Question # 3 of 15 (Start time: 04:10:14 PM) Total M - 1

Which of the following is considered to be a variable cost in the long run?
Select correct option:
Expenditures for wages.
Expenditures for research and development.
Expenditures for raw materials.
All of the given Costs. (Correct)

Question # 4 of 15 (Start time: 04:11:44 PM) Total M - 1

If a profit-maximizing firm finds that, at its current level of production, MR < MC, it will:
Select correct option:
Increase output.
Operate at a loss.
Shut down.
Decrease output. (Correct)

Question # 5 of 15 (Start time: 04:13:00 PM) Total M - 1
If utility remains the same for original and new combination of goods consumed, the effect of a change in the price of a good on the quantities consumed will be called as:
Select correct option:
Substitution effect.
Real income effect.
Income effect. (Correct)
Budget effect.

Question # 6 of 15 (Start time: 04:14:09 PM) Total M - 1

The total cost (TC) function is given as: TC = 200 + 5Q. What is the fixed cost?
Select correct option:
200.
5Q. (Correct)

5.
5 + (200/Q).

Question # 7 of 15 (Start time: 04:14:32 PM) Total M - 1

If the income elasticity of demand for boots is 0.2, a 10% increase in consumer income will lead to a:
Select correct option:
20% increase in the quantity of boots demanded.
20% decrease in the quantity of boots demanded.
2% increase in the quantity of boots demanded. (Correct)
0.2% increase in the quantity of boots demanded.
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Question # 8 of 15 (Start time: 04:14:51 PM) Total M - 1

We know that the demand for a good or service is inelastic if:
Select correct option:
When price rises, quantity demanded rises.
When price rises, quantity demanded falls. (Correct)
When price rises, total revenue rises.
When price rises, total revenue falls.

Question # 9 of 15 (Start time: 04:15:54 PM) Total M - 1

An individual with a constant marginal utility of income will be:
Select correct option:
Risk averse. (Correct)
Risk neutral.
Risk loving.
Insufficient information for a decision.

Question # 10 of 15 (Start time: 04:16:23 PM) Total M - 1

Suppose we find that the cross-price elasticity of demand for two products is a negative number. We know that:
Select correct option:
The two goods are normal goods.
The two goods are inferior goods.
The two goods are substitutes.
The two goods are complements. (Correct)

Question # 11 of 15 (Start time: 04:16:53 PM) Total M - 1
A normative economic statement:
Select correct option:
Is a statement of fact.
Is a hypothesis used to test economic theory.
Is a statement of what ought to be, not what is. (Correct)
Is a statement of what will occur if certain assumptions are true.

Question # 12 of 15 (Start time: 04:17:26 PM) Total M - 1

Which of the following might be considered to be a characteristic of a planned economy?
Select correct option:
All income is completely evenly distributed.
Price is relatively unimportant as a means of allocating resources. (Correct)
Goods and services produced reflect consumer sovereignty.

There is no incentive for people to work hard.

Question # 13 of 15 (Start time: 04:18:01 PM) Total M - 1

If consumer incomes increase, the demand for product Y:
Select correct option:
Will necessarily remain unchanged.
Will shift to the right if Y is a complementary good.
Will shift to the right if Y is a normal good. (Correct)
Will shift to the right if Y is an inferior good.

Question # 14 of 15 (Start time: 04:18:44 PM) Total M - 1
If a decrease in price increases total revenue:
Select correct option:
Demand is elastic.
Demand is inelastic.
Supply is elastic. (Correct)
Supply is inelastic.

Question # 15 of 15 (Start time: 04:19:34 PM) Total M - 1
If the price elasticity of demand for beans is estimated to be -0.4, then a 20% increase in price will decrease the quantity demanded by:
Select correct option:
14%.
8%. (Correct)
16%.
20%.